WHAT BUYING HABITS REVEAL

One can learn a great deal about affluent people by analyzing their vehicle-buying habits. For instance, note that most millionaires are dealer shoppers as opposed to dealer loyalists. Not by a large margin (54.3 versus 45.7 percent), you may logically counter. But this margin is a bit misleading. Net out the percentage of dealer loyalists who are so inclined because they have strong reciprocal relationships with their favorite dealer. Factor out also those loyalists who patronize dealerships owned by relatives and close personal friends. Then ask about the percentages of loyalists versus shoppers. If you do, you will find that there are at least two shoppers for every loyalist among the ranks of American millionaires.

What about vehicle purchasers in general? Most vehicle buyers are not wealthy. Thus, one might logically expect them to spend more time and energy shopping for the best deal. Our research shows the opposite. Those who are not wealthy are less likely to shop, haggle, and negotiate than those who are millionaires. Car-buying behavior does indeed help explain why some people are wealthy while most are not and never will be.

More aggressive bargain shoppers for motor vehicles also tend to bargain hunt for other consumer products. These people also tend to plan their expenditures. Given these findings, what buyer type ofthe four profiled above would you expect to be the most frugal in general?

Have you guessed that it is the used vehicle-prone shoppers? Used vehicle-prone shoppers are the most aggressive and most price-sensitive when it comes to acquiring motor vehicles. They shop using a wide variety of sources. And, on average, they pay significantly less for their vehicles than do members of the other groups.

Of all the types studied, used vehicle-prone shoppers are the most illuminating for those interested in studying the path to affluence. Why? Because of all the groups studied, its members have the highest ratio of net worth dollars for each dollar of income: For every one dollar used vehicle-prone shoppers realize in income, they have $17.2 of net worth. They have the lowest average income of all the groups, yet, on average,